

Powering the AI Era

HVDC Leadership & AI Server Thermal Solutions

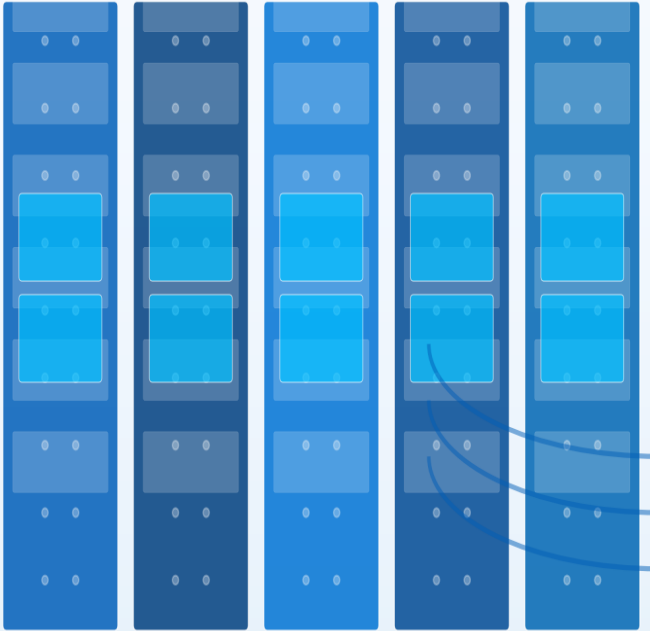
Light Clean Executive Report — May 2026

Delta Electronics | TMSBU | Confidential

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Executive Summary

Five strategic imperatives for Delta TMSBU in the AI-powered data center era

HVDC leadership + liquid cooling capability = strategic differentiator for Delta TMSBU

\$39.1B

AI Power TAM 2028E

Global AI server power
infrastructure market

▲ 24% CAGR

700W+

GPU TDP Threshold

GB200 NVL72 pushes
thermal limits

Stable

60%

Liquid Cooling 2026E

Air cooling reaches
physical ceiling

▲ from 20% in 2023

\$3.2B

TMSBU SOM (High)

Serviceable opportunity
for Delta TMSBU

Scenario-based

BBB

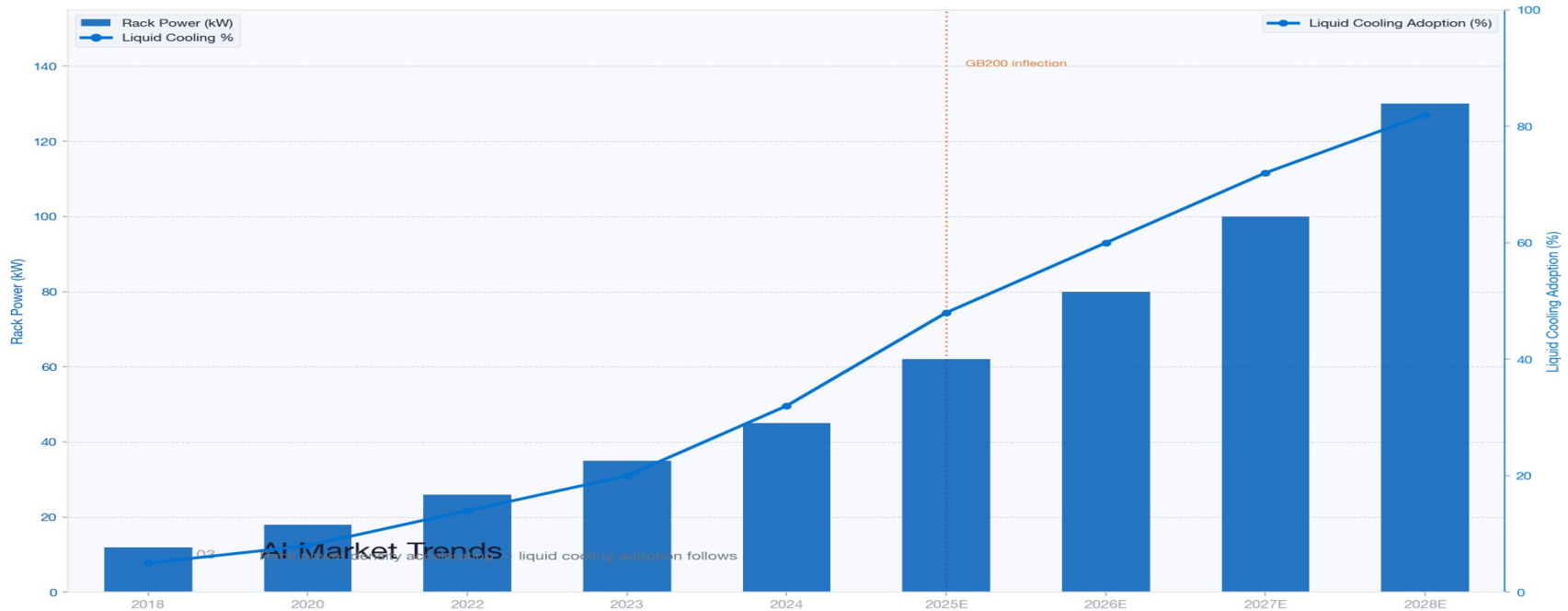
Credit Rating

Delta investment-grade
financial strength

Stable

AI Market Trends

Rack power density accelerating — liquid cooling adoption follows



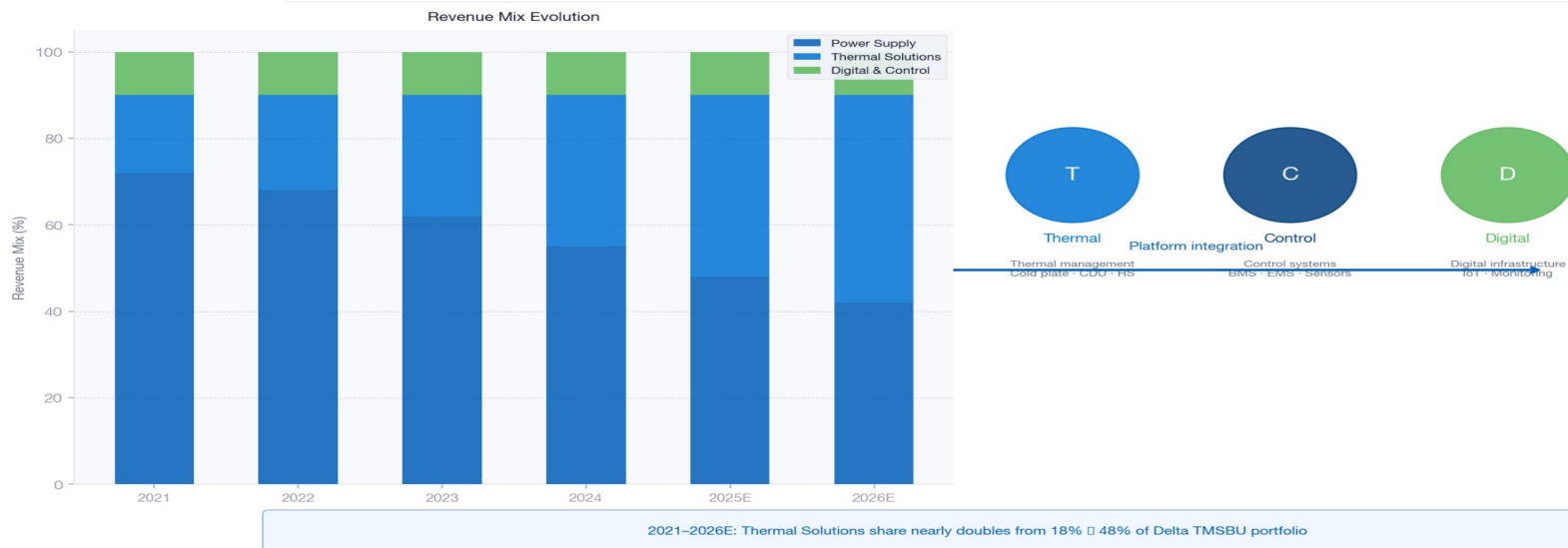
GB200 inflection (2025E): GPU TDP 1,000W+ triggers rack power >80kW — liquid cooling is the only viable path

Delta Transformation Journey

From power supply to AI infrastructure total solutions provider

04 Delta Transformation Journey

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2021–2026E: Thermal Solutions share nearly doubles from 18% to 48% of Delta TMSBU portfolio

HVDC Architecture

From grid to chip — Delta's integrated power-to-thermal value chain

05 HVDC Architecture

From grid to chip — Delta's integrated power-to-thermal value chain



Delta's HVDC architecture enables 130kW+ rack power with industry-leading efficiency

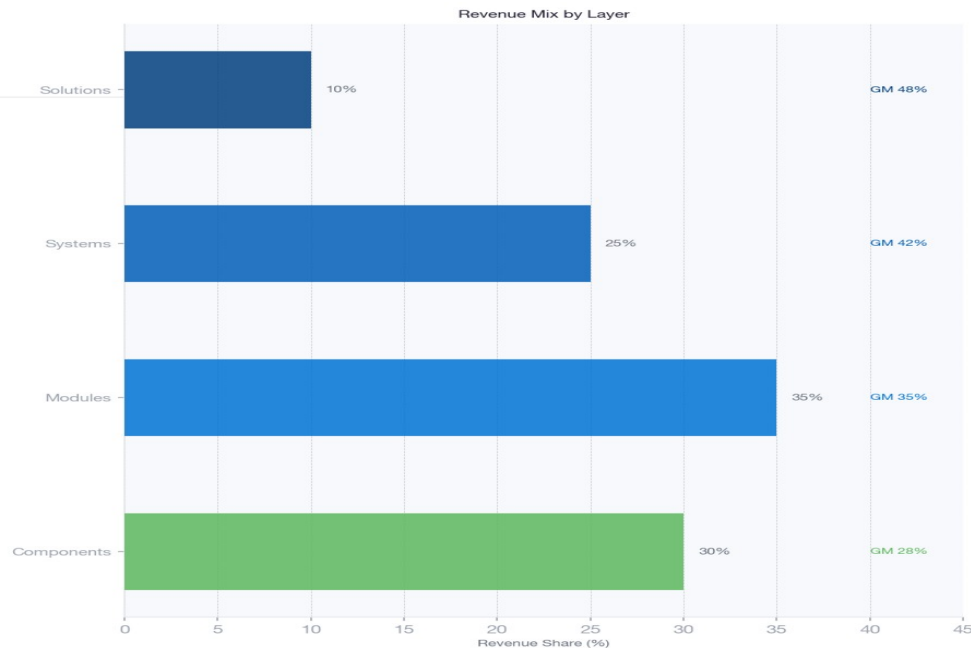
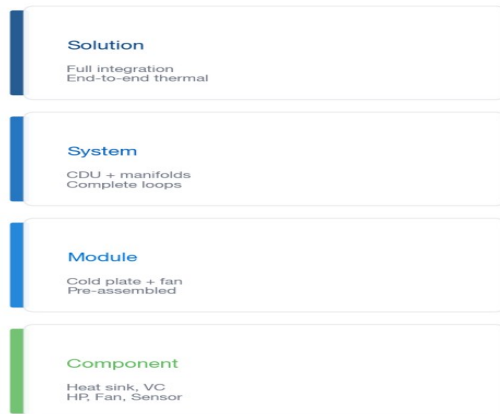
Delta's HVDC architecture enables 130kW+ rack power with industry-leading 99.1% efficiency

Product Portfolio

Four-layer value ladder: Component → Module → System → Solution

06 Product Portfolio

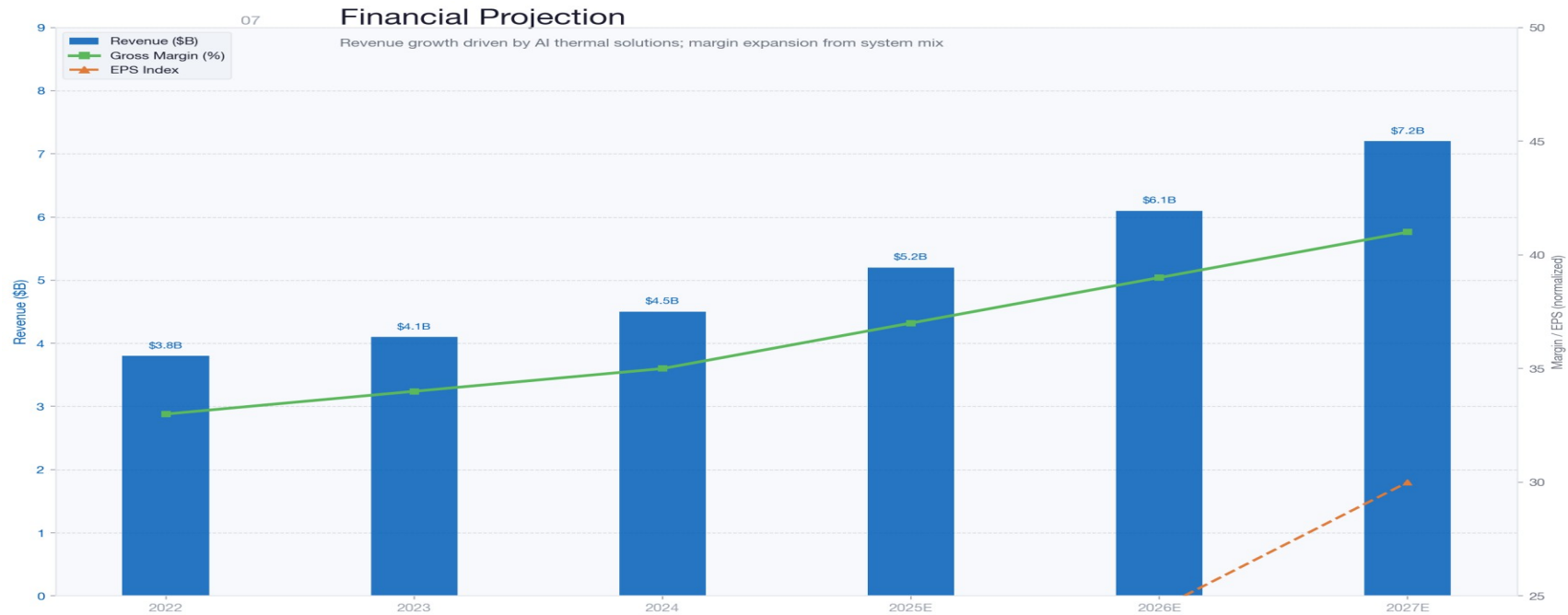
Four-layer value ladder: Component → Module → System → Solution



Each layer adds customer value: Components (30%) → Modules (35%) → Systems (25%) → Solutions (10%)

Financial Projection

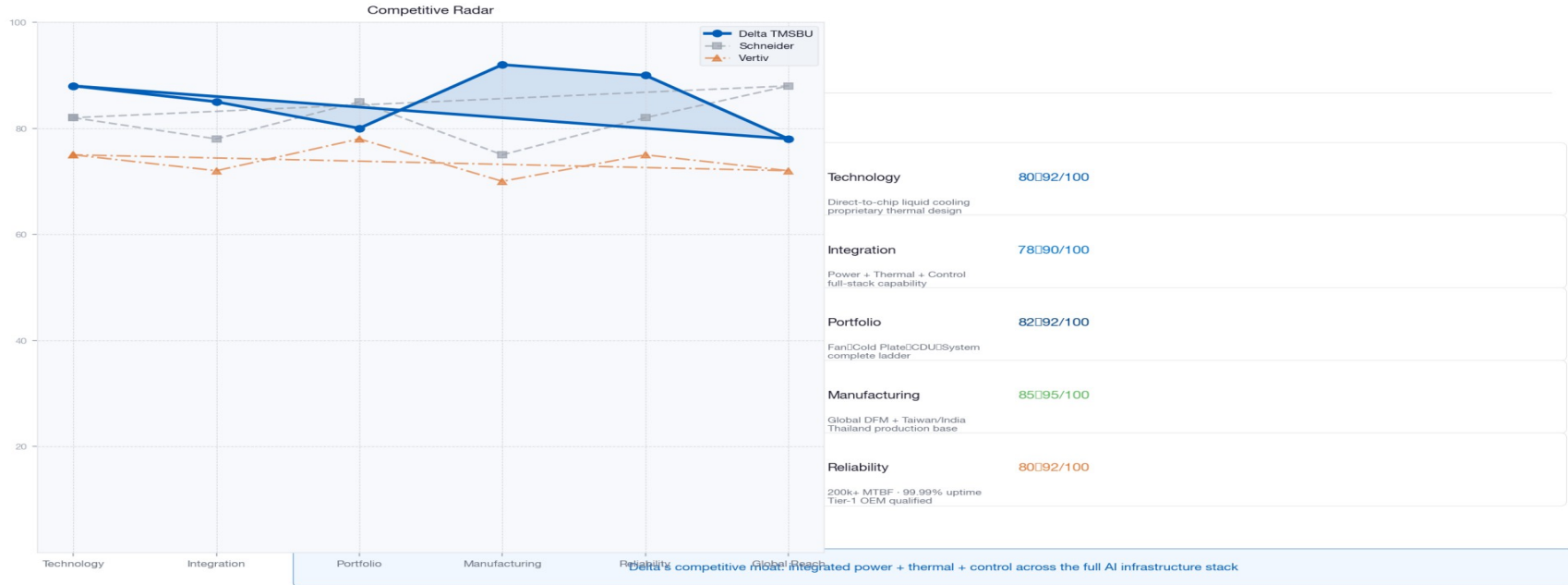
Revenue growth driven by AI thermal solutions; margin expansion from system mix



Revenue: \$3.8B (2022) → \$7.2B (2027E) | Gross Margin: 33% → 41% | EPS growth +125%

Competitive Advantages

Delta TMSBU vs. global competitors — six-dimension strategic positioning

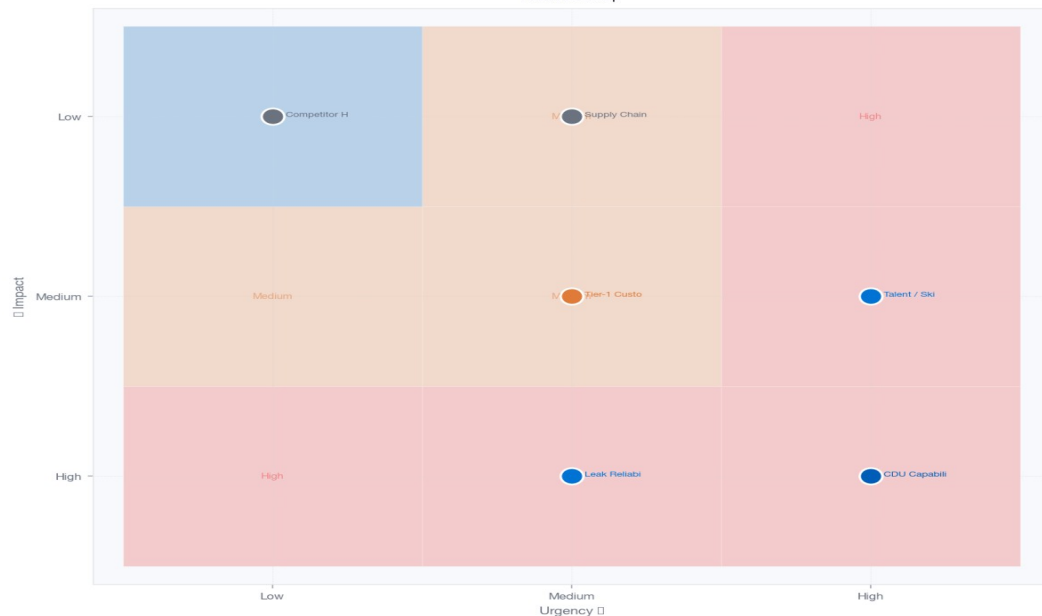


Delta's competitive moat: integrated power + thermal + control across the full AI infrastructure stack

Capability Gap & Risk Assessment

Impact × Urgency matrix — strategic risk prioritization for TMSBU leadership

Risk Heatmap



Immediate Priorities

- 1** **CDU Strategy Decision** 90 days
Build · Partner · Acquire
- 2** **Leak Reliability Qualification** 6 months
Cold plate + manifold + connector
- 3** **Tier-1 Customer Pipeline** 12 months
Thermal design-in with top 3 OEMs

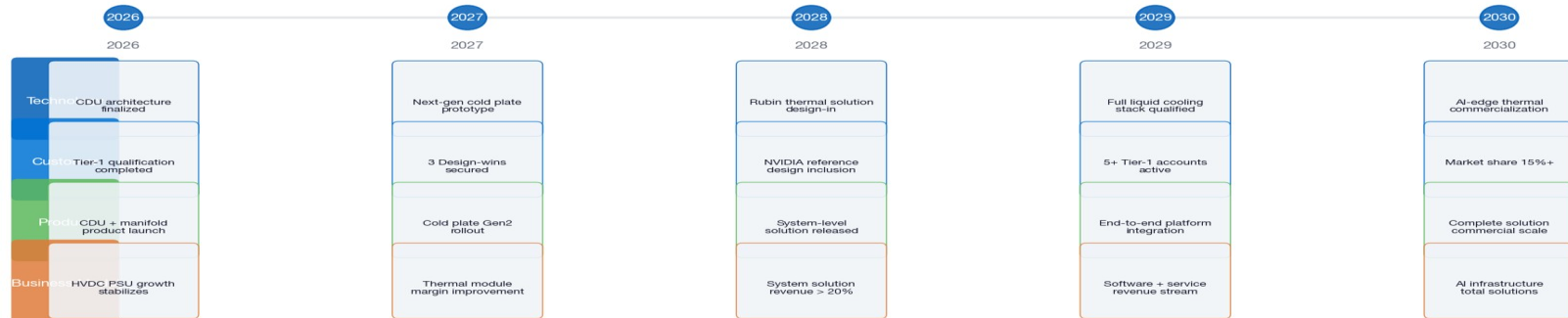
Top risk: CDU strategy (90-day decision window) | Leak reliability (6-month qualification) | Tier-1 pipeline (12-month)

Strategic Roadmap

2026–2030: Four-lane execution plan — Technology, Customer, Product, Business Model

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Strategic milestones: 2026 CDU launch → 2028 system solution → 2030 complete AI infrastructure portfolio

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